SUMMARY

Reserve is that portion of current or accumulated profits which is kept aside for meeting some known or unknown liabilities or contingencies which might arise in future. It is classified as, (1) General Reserve, (2) Specific Reserve, (3) Capital Reserve, (5) Secret Reserve, (6) Reserve Fund, and (7) Sinking Fund.

Provision is a charge against profit created for a specific known or unknown liability or contingencies. It is classified as, (1) Provision for losses, (2) Provision for known liabilities, and (3) Provision for unknown liabilities. It is the duty of an auditor to carefully examine whether adequate provision has been created to meet the loss or liability.

KEY TERMS

- **Reserve** – It is an amount which has been set aside for future use or for emergency.
- **General Reserve** – It is a reserve creatd to provide additional working capital created from profit.
- **Sinking Fund** – It is a form of specific reserve set aside for the redemption of a long term debt.
- **Capital Reserve** – It is created out of profits of a capital nature.
- **Secret Reserve** – Any reserve which is not apparent on the face of the balance sheet.
- **Provisions** – It is an amount set aside as a charge against earnings created for a specific known liability.

EVALUATION

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I. Multiple Choice Questions:

1. Reserve means _____
   a) Use for future emergency
   b) Meet contingency
   c) Meet Liability
   d) All the above
2. _____ is to provide additional working capital.
   a) General Reserve
   b) Specific Reserve
   c) Sinking Fund
   d) Secret Reserve
3. The reserve which is a charge against reserve for the purpose of providing for losses and contingencies which may result in losses and which are known or expected is known as _____

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